



Analogic – Leidos SES business

MN-75029

Phase 1 Determination

Acquisition may be put into effect

11 August 2026

1. Determination and statement of reasons

Notified acquisition	The proposed joint venture combines Analogic Corporation (Analogic) with the assets and entities that comprise Leidos, Inc. (Leidos)’s Security Enterprise Solutions and Industrial and General Automation businesses (Leidos SES) (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	Analogic, controlled by affiliates of Altaris Partners LLC (Altaris) is a US-based company focussed on the healthcare, industrial and aviation security sectors. It is active in the design, development, manufacturing and support of advanced imaging and detection solutions, as well as power and automation systems. Analogic is active in aviation security globally and supplies explosive detection systems, including components of checked baggage explosive detection systems, to original equipment manufacturers overseas, which may then be supplied into Australia. Altaris is an investment firm focussed on acquiring and building companies in the healthcare sector. It has invested in more than 50 companies across a range of healthcare subsectors. Leidos is a US-based industry and technology company serving government and commercial customers under the Intelligence & Digital, Health, Homeland and Defense groupings. Leidos SES is active in aviation security globally and supplies cabin and checked baggage explosive detection systems in Australia.
Overlap and relationship between the Parties	Globally, Analogic and Leidos (the Parties) overlap in the supply of cabin and checked baggage explosive detection systems. In Australia, Leidos competes to supply explosive detection systems directly to airport customers. Analogic supplies goods and services, including explosive detection equipment, service parts, engineering services and/or systems related to its cabin and checked baggage products, to other equipment manufacturers, which may then be supplied to Australian customers. Checked baggage explosive detection systems are used in airports for the screening of baggage that has been checked in by passengers to be stored in the hold of the aircraft. Cabin baggage explosive detection systems are used to screen cabin (carry-on) baggage at airport checkpoints.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC’s approach to considering notified acquisitions, see the ACCC’s merger assessment guidelines and interim merger process guidelines.

	In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, information from third parties and publicly available information, as relevant. The ACCC has determined that the Acquisition may be put into effect as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. • The Parties are not close competitors in the supply of cabin and checked baggage explosive detection systems to airport customers in Australia, with Analogic currently having a limited direct role in supplying Australian airport customers. • The Parties would continue to face competition from alternative cabin and checked baggage explosive detection systems suppliers post-Acquisition, including larger competitors. • While the merged firm may have the ability and incentive to engage in a foreclosure strategy, limiting downstream suppliers' access to for example cabin baggage explosive detection systems or components, such a strategy is unlikely to substantially lessen of competition due to the presence of competing alternative systems and the prospect of new entry.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act